

small example of care for the natural environment, and section 6.3 returns to the idea.

The same duty looks different from each position. The owner asks what it costs now and what trust it earns later. The manager asks how to reach the goals for profit while treating employees, customers and suppliers fairly. An employee sees the duty in wages, safety and respect. A customer sees it in honest prices and honest goods. A neighbour sees it in noise, waste and the state of the street. Each of these people can judge whether the duty is being met.

Not everyone agrees that organisations should carry the duty. The disagreement is old, and each side has a serious case. Milton Friedman, an American economist, argued in 1970 that the only social responsibility of a business is to use its resources to increase its profit while keeping to the law.¹ Others answer that society gives organisations their permission to operate, and that society can withdraw the permission.

The table below sets out three questions in the debate. Read each row from left to right. The first cell names the question, the second gives the argument for the duty, and the third gives the argument against it.

ARGUMENTS FOR AND AGAINST SOCIAL RESPONSIBILITY

QUESTION	ARGUMENT FOR	ARGUMENT AGAINST
Whose money is spent?	Spending on society protects the good name of the organisation and so its profit over time.	The money belongs to the owners, who did not choose to spend it on society.
Who decides?	Managers know their own effects and are best placed to limit harm.	Managers are not elected, so they should not decide what society needs.
What if the organisation does nothing?	Society may reply with stricter laws and lost customers.	Governments and charities exist for social needs, and the organisation should pay its taxes.

Neither column wins in every case. The argument for stresses time: harm to society often returns to the organisation as lost trust or stricter rules. The argument against stresses ownership and skill: managers are trained to run an organisation, not to solve every social problem. Most modern writers hold that both points are true. For them the question is how much responsibility an organisation should accept, not whether it should accept any.

A model is a simplified picture of how something works. Keith Davis, an American management scholar, offered one that links power to duty.² We call it the Davis model. It has five steps, and each step rests on the one before it.

Step 1: an organisation holds social power. It employs people,

¹ Friedman published this argument in the *New York Times Magazine* in 1970. Many writers have replied to it since.

² Davis wrote on this subject from 1960 onwards. Later textbooks present his ideas as a short list of steps.

Each person affected sees the duty from a different place.

Thinkers disagree about whether an organisation should carry this duty at all.

The main arguments for and against appear side by side in a table.

Each side rests on a reasonable claim, and most modern writers accept both.

Davis built a model in five steps that links an organisation's power to its duty.

Steps 1 and 2: social power

YOU WILL NEED

Chapter 7, 'Planning: Meaning, Nature and Steps', section 7.1 'What Planning Is'; and Chapter 8, 'Kinds of Plans and Making Planning Work', section 8.1 'Kinds of Plan'. Chapter 7 explains what a plan is and why managers make plans. Chapter 8 describes the kinds of plan, such as standing plans and single-use plans. This chapter starts where those two end: every plan needs a place to reach.

Imagine two students at the start of a school year. The first says, "I want to do well this year." The second says, "I will score at least 70 out of 100 in every subject in the final tests, and I will study for two hours on each weekday evening." One year passes. Can the first student say whether she kept her promise? She cannot. The word "well" has no edge, so any result can be called well or badly, depending on her mood. The second student can answer in one minute, by reading her results and her study record.

Now put a shop in place of the student. The owner says, "We must improve the business." The stock clerk hears this and decides to tidy the storeroom. The cashier decides to serve customers faster. The store manager decides to buy more stock. Each person works hard, and each person chooses a different road. A year later, nobody can say whether the business improved, because nobody said what improvement would look like.

In Chapter 7 you studied the plan, which is a chosen way to reach a result. A plan is a road. A road helps only when someone has named the town at its end. Picture a traveller at a crossroads with four roads and a signpost whose arms carry no names. The traveller has energy and a good map, and still cannot choose. An organisation can be in the same position: busy every day, yet unable to say what the work is for.

The question for this chapter is therefore: how does a wish become a result that a whole organisation can steer by and check? The destination has a formal name, *objective*, which section 9.1 defines. Section 9.1 also shows which parts of an organisation's work deserve an objective. Section 9.2 shows how to write one so that anyone can tell afterwards whether it was reached. Section 9.3 describes a system, called management by objectives, in which managers and employees agree objectives together. Along the way we follow a bookshop in Dhaka through the objectives it agreed for 2026. Many students find the word *objective* confusing, because it also has an everyday meaning. We deal with that at once, so that it does not trouble you later.

* * *

9.1 OBJECTIVES

Return to the traveller at the crossroads. Suppose each arm of the signpost now carries a name and a distance: "Market town, 12 kilometres." The traveller can choose a road, can measure progress

Two students make two promises, and only one of the promises can be checked.

A shop has the same problem as the first student: a wish with no edge cannot be steered towards or checked.

A plan is a road, and a road is useful only after someone names the place it leads to.

This chapter answers one question in three steps and then shows the system that joins them.

A traveller needs a named destination before any road makes sense.

Business ethics means the moral rules that decide what is right and wrong in business conduct. A moral rule is a belief about how people ought to treat one another, such as "do not deceive" or "keep your promises". A shop that gives a customer the correct change, even when nobody would notice a mistake, is following such a rule. Chapter 1 explained that a manager answers for results. Ethics adds that a manager also answers for the way the results were reached.

People form their beliefs about right and wrong in many places: in the family, in religion, in the culture around them, in a profession and in the workplace itself. Because these sources differ, ethical beliefs also differ among people and among countries. The same is true of law. A manager who works across borders must therefore name the place whose rule applies before judging an act.

The table below sorts three acts by what the law and ethics say. Read across each row: the act comes first, then the law, then the ethical view. The text after the table explains a fourth case that the table leaves out.

THREE ACTS JUDGED BY LAW AND BY ETHICS

ACT	LAW	ETHICS
Paying employees the wages that were promised	Required	Right
Praising a book's good points while saying nothing of its badly faded print	Often allowed	Doubtful, because it misleads the buyer
Selling a stolen book	Forbidden	Wrong

The first and third rows show law and ethics agreeing. The second row shows them parting: the act may be lawful, but many people would still judge it wrong. A fourth case runs the other way. An organisation may give its employees paid leave to attend a funeral when no law requires it. The act is ethical without being required. For this reason a careful manager asks "Is it right?" after asking "Is it lawful?", and never in place of it.

Some choices have no painless answer. An **ethical dilemma** means a choice in which every option has a cost to some person's rights or interests. Suppose a shop owner can survive a bad year only by dismissing one of two employees or by cutting the pay of both. Each option harms someone. The owner cannot avoid harm, and can only choose which harm to accept and how to reduce it.

A dilemma is not the same as a temptation. In a temptation, one option is plainly wrong, and the difficulty is the wish to take it. A shop owner who is tempted to sell stolen books for a high profit does not face a dilemma. The right answer is known, and only the

Recall: Chapter 1, 'What Management Is', section 1.4 'A Manager's Responsibility' — responsibility.

Business ethics is the set of moral rules that judge conduct at work.

Business ethics. The moral rules that decide what is right and wrong in business conduct.

Ethics. Word in use. In daily life, a person's private sense of right and wrong. In management, shared rules of conduct that guide choices at work and can be written down.

Ethical beliefs come from many sources and differ among places.

A table sorts three acts by what the law and ethics say about them.

Law and ethics overlap but are not the same thing.

Some choices have no painless answer.

Ethical dilemma. A choice in which every option has a cost to some person's rights or interests.

A dilemma differs from a temptation, where one option is plainly wrong.

A writer on business, John Elkington of Britain, gave this wider judgement a name in 1994. The **triple bottom line** means a way of judging an organisation by its profit, its effect on people and its effect on the natural environment. The phrase "bottom line" comes from accounts, where the last line shows the profit. Elkington added two more last lines, so that an organisation reports on people and on the natural environment as it reports on profit.

Case file, illustrative. Record for 2025, Meghna and Sons: profit Tk 750,000; 7 employees (store manager, accounts and online orders, 3 sales assistants, 1 cashier, 1 stock clerk); 380 kg of unsold paper sent to recycling. Read as a triple bottom line, profit fills the first line, the 7 employees give a first fact for the second line, and the recycled paper gives a first fact for the third. The record holds no measure of pay, safety or respect, so it cannot complete the judgement.

How can a customer or a student tell whether an organisation is responsible? The best answer is to look for evidence instead of claims. A responsible organisation reports what it does, including its failures. It pays its employees what it promised and keeps their workplace safe. It lets independent people check its suppliers. It keeps to the law and to its own code of ethics, and it admits its mistakes and repairs them.

This test has limits. A handsome report can hide poor conduct, and an organisation can say that it is green while doing little. The useful question is always "Who checked this claim?" Standards also differ by place. Rules on waste, wages and building safety vary from one country to another, so we judge an organisation against the rules of the place where it works and against the higher rules that it sets for itself.

Before moving on. Sustainability is running an organisation so that it meets today's needs without harming later generations' ability to meet theirs. The triple bottom line judges an organisation by profit, by its effect on people and by its effect on the natural environment. We recognise a responsible organisation by evidence that an independent person has checked.

* * *

WORKED CASE: THE PHOTOCOPIED TEXTBOOKS

We now apply the ideas of this chapter to one decision in the case file. The worked case has five parts: Situation, Question, Reasoning, Conclusion and Check. It shows how the ideas combine. It is an application and not a model answer.

Case file, illustrative. Ethical choice, 18 June 2026, Meghna and Sons. A supplier offered 500 photocopied copies of a textbook at Tk 180 each against Tk 260 for genuine copies, a saving of $500 \times 80 = \text{Tk } 40,000$. The shop declined.

Question. Should the shop have accepted the offer? To answer,

⁴ Copyright law differs from country to country. A student should read the copyright law of the country concerned before judging a real case.

The triple bottom line judges an organisation by three results instead of one.

Triple bottom line. A way of judging an organisation by its profit, its effect on people and its effect on the natural environment.

A single year's record fills the three lines only in part.

A responsible organisation shows evidence and not only claims.

Fine reports can hide poor conduct, so the question to ask is who checked.

The recap of section 6.3.

The worked case applies the chapter's ideas in five parts to one decision.

The situation: a supplier offers cheaper photocopied copies, and the shop declines.

The question is whether the

The check multiplies back to the starting figure.

Check. If 5.7% of Tk 15,840,000 is calculated, $15,840,000 \times 5.7 \div 100$ is about Tk 902,880, which is close to Tk 900,000. The small difference arises because 5.7% is a rounded figure, so the answer is sensible.

* * *

SUMMARY

Plans are sorted by repeat use into standing plans and single-use plans. Standing plans include policy, procedure and rule, and single-use plans include programmes and projects. A budget states income and spending in money terms. Plans are also sorted by time into long-range and short-range, and by level into strategic and operational. Planning works when the top supports it, objectives are exact, people know the plan, and the plan can change.

THINK IT THROUGH

The questions begin with the shop and move to new settings.

8.T1 The shop's returns policy allows exchange within 7 days with a receipt. A customer returns a book on day 8 with a receipt. Which part of the standing plan decides the case, and what could the manager do within the policy?

8.T2 Suppose the book fair had expected sales of Tk 600,000 and the same budget of Tk 240,000. By how much would the expected sales exceed the spending, and what would you advise?

8.T3 A school canteen serves lunch every day and also plans a once-a-year sports day. Give one standing plan and one single-use plan for the canteen.

8.T4 Explain when a standing plan should be changed. Give two signs that a policy has grown old.

WHERE PEOPLE GO WRONG

Some students use the three words as if they meant one thing. They differ in freedom: a policy guides and leaves judgement, a procedure fixes the steps, and a rule leaves no choice. Reading the sentence for how much choice it leaves usually shows which form it is.

Some students think that a plan used once matters less. A single-use plan, such as a landing on a coast, may be the most important plan an organisation ever makes. It is called single-use because it is used once, not because it is small.

Some students believe that once a standing plan is made, it stays. Conditions change, and the plan must be reviewed. A plan that is never reviewed becomes a habit that no longer fits the facts.

Some students read the expected sales in a budget as a promise. They are an estimate, based on premises. The actual figures may differ, and the manager must compare them with the budget as the

A policy, a procedure and a rule are not the same.

A single-use plan is not a weak or unimportant plan.

A standing plan does not last for ever.

A budget does not guarantee the sales it expects.

6.T2 Using only the facts given in this chapter, judge Meghna and Sons by the triple bottom line. State what each of the three lines shows, and name two facts that you would still need before you could finish the judgement.

WHERE PEOPLE GO WRONG

Mistake: "If an act is legal, it is ethical." Law sets the minimum that society enforces. Many lawful acts mislead or harm people, and a careful manager asks whether an act is right as well as whether it is lawful.

Mistake: "Social responsibility means giving money to charity." Gifts can be part of it, but the duty begins with the organisation's own conduct. An organisation that gives money while it pays unfairly or ignores safety has not met the duty.

Mistake: "Sustainability is only about protecting nature." Sustainability also covers people and money. An organisation that harms its employees or loses all its money cannot continue, and the triple bottom line counts all three.

Mistake: "Every difficult choice is an ethical dilemma." A dilemma is a choice in which every option has a cost to someone. When one option is plainly wrong and the difficulty is the wish to take it, the situation is a temptation.

Mistake: "Only large organisations need to think about this." Power grows with size, so a large organisation owes more. A small shop owes less, but its choices still reach employees, customers and neighbours, and the duty is never zero.

IN HISTORY

On 24 April 2013, the Rana Plaza building collapsed at Savar, near Dhaka, in Bangladesh. The building housed five garment factories that made clothing for brands sold in many countries. More than 1,100 people died, most of them garment employees, and more than 2,000 others were injured. The disaster was not the first in the industry. Earlier fires in garment factories had already killed many employees.

In May 2013, brands and retailers signed the Accord on Fire and Building Safety in Bangladesh together with international trade unions. The Accord was a legally binding agreement. It required independent inspections of supplier factories by qualified engineers, and it required the results to be made public. Reports on the events state that pressure from the media and from customers led more companies to sign after the collapse.

The events show this chapter's ideas at work. Buyers hold power over their suppliers, which Davis step 2 says creates a duty. Low prices can push costs of safety onto employees, which Davis step 4 says must be counted. The agreement made the dealing between buyers and suppliers more open, as Davis step 3 asks. Finally, the loss of life shows what a triple bottom line would record on the line for people.

Mistake one: believing that whatever is lawful must also be right.

Mistake two: believing that social responsibility means giving money away.

Mistake three: believing that sustainability concerns only nature.

Mistake four: believing that every hard choice is a dilemma.

Mistake five: believing that only large organisations carry the duty.

Rana Plaza in 2013 showed the human cost of ignoring safety and responsibility.

Pressure from the public led brands and unions to sign a binding agreement.

The events show the chapter's ideas at work in a real case.

Section 8.2 in three lines.

A plan that is well made can still fail if the organisation does not support it.

A plan needs the visible support of the owner or senior managers.

Without support, a plan competes with daily work and loses.

A plan is useful only if its objective is exact and shared.

Exact objectives let a manager check results against the plan.

Employees must know the plan, and the plan must be able to bend.

Flexibility keeps a plan useful when conditions change.

Before moving on. Long-range plans look several years ahead and short-range plans a year or less. Strategic plans set direction and operational plans organise daily work. The grid helps to sort plans, but its boundaries are not fixed.

* * *

8.3 MAKING PLANNING EFFECTIVE

Knowing the kinds of plan is the first half of the lesson. The second half is making them work. Chapter 7 showed that plans fail for many reasons. Four habits help a manager to prevent failure, and each one is explained here with a shop example.

SUPPORT FROM THE TOP

The first habit is support from the top. If the owner makes a plan but is seen to ignore it, employees will ignore it too. Support means that senior managers approve the plan, give it money and time, and follow it themselves. In a family shop, this means the owner follows the returns policy in the same way as an assistant must. If the owner makes an exception for a friend, the policy loses its force.

Consider the viewpoints. The owner supports a plan by following it. The store manager supports it by giving employees time to learn it. The employee supports it by using it and by reporting what does not work. When one of these three withdraws support, the plan weakens, because people watch what their leaders do and not only what they say.

CLEAR OBJECTIVES

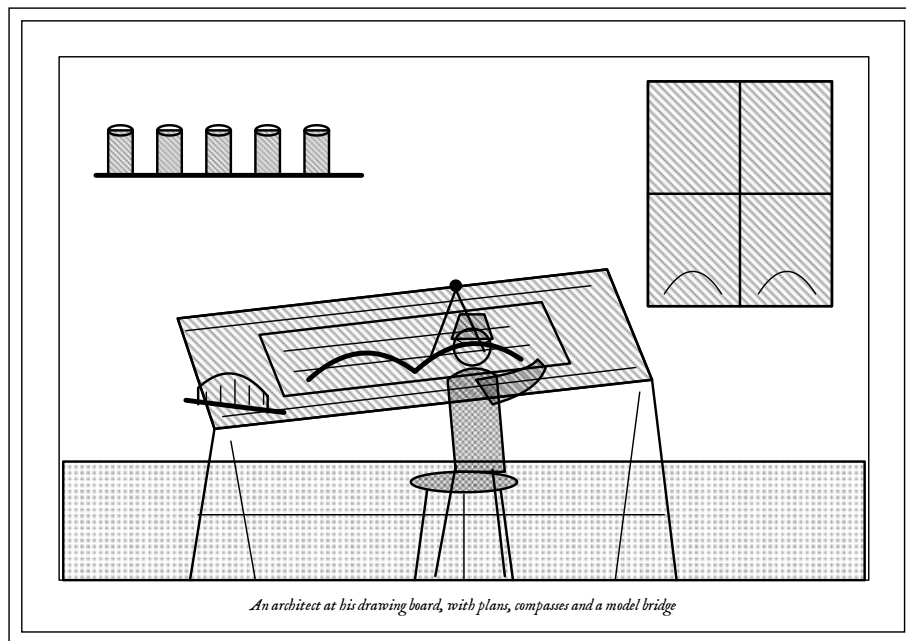
The second habit is clear objectives. An objective is the result that has been chosen as the target. If the objective is vague, such as "have a good book fair", then each person decides privately what good means, and the efforts pull in different directions. An exact objective states the result and the date: for example, to reach the expected sales of the fair by the end of its 28 days.

An exact objective also makes later checking possible. If the stall's expected sales are known in advance, the manager can compare the actual sales with them after the first week, and again after the fourth. Without an exact objective there is nothing to compare. The control of results is taught in Chapter 18.

COMMUNICATION AND FLEXIBILITY

The third habit joins two ideas that seem opposite. Communication means that everyone affected by the plan knows it: what it says, why it exists and who does what. A standing plan that is kept in the owner's head cannot guide the assistants. The manager should put it in writing, explain it, and answer questions.

Flexibility means that the plan can be changed when conditions change. A plan that cannot bend becomes a trap. Suppose the returns policy allows exchange within seven days, and a large school order arrives with a longer delay between delivery and use.



CHAPTER VII

Planning: Meaning, Nature and Steps

How does a wish turn into something you can actually do?



This chapter explains what planning is and why every organisation needs it. You will learn the five steps that turn a wish into a workable plan, and you will study the reasons why plans fail. The ideas are built slowly, from a household journey to the order book of a shop.

The shop's returns policy is a standing plan for a repeated situation.

The returns policy shows how one standing plan holds both a policy and a rule.

A programme is a set of linked single-use plans, and a project is one part of it.

Programme. Word in use. In daily life, a television or radio show, or a printed list of events. In planning, a set of linked plans, usually single-use, that together reach a larger objective.

The book fair stall is a single-use plan with a start date and an end date.

The fair is a project because it begins, ends and is not repeated.

A budget states expected income and spending in money terms for a period.

Budget. A plan that states expected income and spending in money terms for a period.

Budgets can be standing or single-use, depending on the period they cover.

The case file gives the book fair's budget and the yearly sales budget.

Comparing expected sales with budgeted spending shows whether the event is worth planning.

Section 8.1 in four lines.

Case file, illustrative. Plans 2026, standing: returns policy, an exchange within 7 days with a receipt.

Read the record carefully. "Exchange within 7 days" sets a limit, and so it is a policy. "With a receipt" is a condition that allows no choice, and so it behaves as a rule. The record does not list the steps, and a procedure for them could be added. The case shows that real plans often mix the three forms in one sentence, and the reader's task is to see each part.

PROGRAMMES AND PROJECTS

Single-use plans also come in two sizes. A programme is a larger set of linked plans that together reach a large objective, and a project is one defined piece of work within it. For example, a shop that plans a year of school visits may treat the whole year as a programme and each visit as a project. Each project has a start, an end and a person in charge.

Case file, illustrative. Plans 2026, single-use: a 28-day book fair stall in February 2026.

The book fair stall is a project, because it has a start, an end and a fixed length of 28 days, and it will not be repeated in the same form. It is a single-use plan. Notice how this differs from the returns policy, which has no end date and applies every day.

BUDGETS

One more kind of plan is used by almost every organisation. A **budget** is a plan that states expected income and spending in money terms for a period. For example, a family might write that it expects to receive a fixed income this month and plans to spend part of it on food. A budget turns the plans of the shop into figures, so that the manager can see whether the shop can afford them.

A budget may cover a short event or a whole year. The yearly budget is renewed every year, so it is repeated in form, although the figures change. A budget for one event is used once. This shows that the two main groups are guides and not walls: a plan may have features of both.

Case file, illustrative. Plans 2026, book fair budget: spending Tk 240,000 and expected sales Tk 900,000. Yearly budget: sales Tk 15,840,000.

Read the record. The book fair has two figures: Tk 240,000 of planned spending and Tk 900,000 of expected sales. The expected sales are larger than the spending, so the event seems worth planning, although the cost of the books themselves must still be counted. Notice that the budget does not guarantee the sales. It states what the manager expects and plans for.

Before moving on. A standing plan is used again; a single-use plan is used once. Policy, procedure and rule are standing plans, from the most free to the least free. A programme holds linked projects, and a budget states income and spending in money.

process.² Planning comes first because the other activities depend on it. An organisation cannot arrange its people, direct their work or check results until it knows what it wants to achieve.

Recap. A plan states what will be done, by whom and by when. Planning is the activity of deciding this in advance. You should now be able to say: "A plan names the action, the person and the time."

THE CASE OF THE TEXTBOOK SEASON

Let us test the idea on a real record. The shop's textbook season is the busiest time of the year. Nurul Meghna, the owner-manager, cannot wait until customers arrive, because the supplier needs time to deliver. The case file below records the first facts of the season.

Case file, illustrative. Planning for the textbook season: the season starts 2 January 2026. The order deadline is 12 December 2025. The expected demand is 1,800 textbook sets at an average of Tk 2,400 each, which is Tk 4,320,000.

Read the record slowly. The deadline of 12 December comes before the season start of 2 January, so the shop must decide first and sell later. The value of the order comes from one multiplication: 1,800 sets × Tk 2,400 = Tk 4,320,000. This sum is large for a family shop. A wrong plan would cost real money, and this is why the shop plans before it acts.

Recap. The shop orders on 12 December and sells from 2 January. Between those dates it must trust its plan. You should now be able to say: "Planning is needed because action and result are separated by time."

THE NATURE OF PLANNING

What features does planning have in every organisation, from a shop to a government? Five are worth learning, and the table sets them side by side. Read it row by row: the left column names a feature, and the right column says what it means.

THE NATURE OF PLANNING

FEATURE	WHAT IT MEANS
Planning looks forward	It concerns the future, and the future is not known
Planning is for a purpose	It aims at an objective, and without an objective there is nothing to plan
Planning chooses	It selects one course of action and leaves the others
Planning is needed at every level	The owner, the manager and the employee all make plans of different size
Planning is continuous	Plans are reviewed and renewed as conditions change

Take the second and third features. Planning is for a purpose, because a plan is a tool for reaching an objective. Planning chooses, because the family cannot take two roads at once. These features also explain a common confusion. Planning is not a guess about the

² The management process is set out in Chapter 3 'The Functions of Management and How Management Is Judged', section 3.1 'The Management Process'.

You should now be able to say what a plan contains.

Meghna and Sons must choose an order size long before the season opens.

GO SLOWLY HERE.

The case file gives the season date, the order deadline and the expected order.

Multiplying the expected sets by the average price gives the value of the order.

You should now be able to say why the shop must plan before the season.

Planning has five features that describe it wherever it is found.

GO SLOWLY HERE.

The five features show that planning is forward-looking, purposeful, choosing, shared and continuous.

YOU WILL NEED

This chapter builds on two earlier ideas. The first is what planning is and why it is done, in Chapter 7 'Planning: Meaning, Nature and Steps', section 7.1 'What Planning Is'. The second is the list of activities that every manager performs, in Chapter 3 'The Functions of Management and How Management Is Judged', section 3.1 'The Management Process'.

Picture the counter of a bookshop on a busy Saturday. A customer asks to return a book. Ten minutes later, another customer asks the same thing. By the end of the day, six customers have asked. Must the manager think the problem through six times, and perhaps give six different answers? That would waste time, and it would be unfair, because one customer might be helped and another refused for the same reason.

Now picture a different day. The shop is invited to run a stall at a book fair that lasts four weeks and will not be repeated. No earlier answer exists for this event, because it has never happened before. The manager must think it through once, with great care, and then the thinking will be finished. Is it sensible to treat the two days in the same way? Surely not.

The puzzle shows that plans are not all alike. Some are made once and used many times, so that the manager can save thought for harder problems. Others are made once for one occasion and then set aside. In Chapter 7 we learned how to make a plan by following five steps. This chapter asks a new question: what kinds of plan exist, and how can a manager make planning work in daily life? We begin with the main division.

* * *

8.1 KINDS OF PLAN

How can we sort the many plans that a shop makes? A useful first step is to ask whether the plan will be used again. If it will, it belongs to one group. If it will not, it belongs to the other. Almost every plan fits one group or the other, and the sorting question is easy to ask.¹

STANDING PLANS

The first group is the **standing plan**. A standing plan is a plan made once and used again and again for situations that repeat. For example, a shop that decides how to answer returned books once, and then applies the same answer to every customer, uses a standing plan. The word "standing" tells us that the plan remains in place, like a post that stays upright from day to day.

Standing plans give three benefits. They save time, because the manager does not decide the same question again. They give fair treatment, because every customer meets the same answer. They ¹ The meaning of a plan and the steps of planning are set out in Chapter 7 'Planning: Meaning, Nature and Steps', section 7.1 'What Planning Is'.

A shop must answer the same customer question many times and a rare question once.

A rare event, such as a book fair, needs its own careful thought.

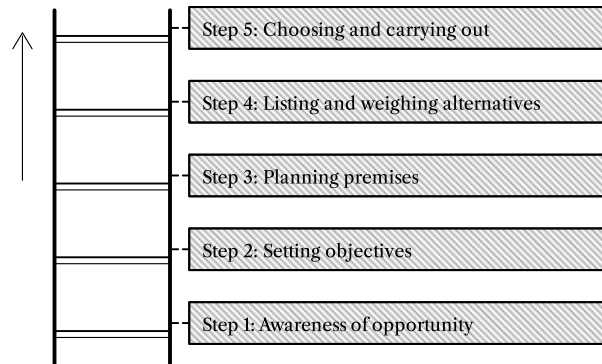
The answer is to use different kinds of plan for repeated and one-time situations.

Plans divide into those used repeatedly and those used once.

A standing plan is made once and used again for situations that repeat.

Standing plan. A plan made once and used again and again for situations that repeat.

Standing plans save thought, give fair treatment and let employees decide alone.



Start at the bottom rung and climb in order.

FIG. 7.1. *The five steps of planning as a ladder*

STEP ONE: AWARENESS OF OPPORTUNITY

Planning begins before any plan exists. It begins when a manager notices something: a chance to gain, or a problem to remove. We call this awareness of opportunity. The family in our opening puzzle noticed that a wedding invitation had arrived. The shop notices that the textbook season is approaching. Awareness asks the manager to look at the organisation, at its customers and at the world outside, and to ask what could be done better.

An everyday bridge helps. A person who sees that a bus fare has risen thinks of cycling to work. The rise in fare is the signal, and the thought of cycling is the opportunity. Notice that no decision is made at this stage. Awareness only identifies a possibility. It fails when a manager is too busy to look up from daily tasks, and then an opportunity passes unseen.

Recap. The first step is noticing a chance or problem. You should now be able to say: "Planning starts with seeing something worth acting on."

STEP TWO: SETTING OBJECTIVES

Once an opportunity is seen, the manager decides what result to aim for. This is setting objectives. The aim must be stated so exactly that everyone can tell whether it was reached. "Do well in the season" is a wish. "Order 1,800 textbook sets by 12 December" is an objective. Chapter 9 explains objectives in full; for now, remember that a plan cannot be built without one.

Think of the viewpoints. The owner wants a profitable season. The store manager wants every shelf ready on the first day. The customer wants the right book, in stock, at a fair price. A good objective brings these viewpoints together in one sentence that all can read. When the objective is vague, each person fills the gap with a personal guess, and the guesses disagree.

Recap. The second step states the result wanted, exactly and with a date. You should now be able to say: "An objective is stated so exactly that everyone can tell whether it was reached."

The first step is to notice a chance or a problem before others do.

GO SLOWLY HERE.

Awareness is a habit of looking, and it prepares the ground for the next step.

You should now be able to say what awareness of opportunity is.

The second step is to decide exactly what result is wanted, and by when.

A clear objective tells every person where the effort is going.

You should now be able to say why the second step comes second.

REVIEW QUESTIONS

Five questions that review the chapter.

- 7.1 Put the five steps of planning in order, and say in one sentence what happens at each.
- 7.2 Define a plan and a planning premise, and give one example of each from a shop.
- 7.3 What is the difference between a forecast and a planning premise?
- 7.4 Explain why the shop cannot wait until the shelves are empty before it decides on its order.
- 7.5 Name three reasons why plans fail, and say how a manager can reduce each one.

Weighing is not done in the dark. The manager tests each alternative against the premises. If the premise says that publishers raise prices by 5%, an alternative that delays the order may cost more, because later orders might be priced higher. An alternative that looks cheap today may look poor under the premises. This is why the premises are written before the alternatives are weighed.

Recap. An alternative is one possible course of action. The manager lists several and weighs each against the premises. You should now be able to say: "A good plan chooses from several alternatives, not from one."

STEP FIVE: CHOOSING AND CARRYING OUT

The last step has two parts. First the manager chooses the alternative that best reaches the objective under the premises. A choice means giving up the others, and this is difficult, because each alternative has some attraction. Second, the manager carries the plan out. This means turning the choice into tasks: who does what, with what resources, by what date. A choice that is never carried out is no better than no choice.

Many students find this step easy to skip, because it feels like action and not planning. In fact it belongs to planning, because the plan states who will do what and by when. If employees do not know the plan, they cannot follow it. The manager must communicate the plan and provide the money, time and tools to carry it out. Then the manager watches the results, and the control of those results is taught in Chapter 18.

After the plan is carried out, results appear. A good result confirms the premises; a poor result shows that a premise was wrong. Either way the manager sees something new, and this is the first step again: awareness. Planning therefore does not end. It circles back, which is why the fifth feature of planning, continuity, is true.

Before moving on. The five steps are awareness of opportunity, setting objectives, stating planning premises, listing and weighing alternatives, and choosing and carrying out. Each step needs the one before. Results lead back to awareness, so planning is a loop.

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7.3 WHY PLANS FAIL

Suppose a family makes a careful plan and still arrives late. Does this mean that planning is useless? No. A plan that fails is a lesson. The causes of failure repeat across organisations, and a manager who knows them can avoid most. Three causes appear again and again, and a fourth cause is the limit of planning itself.

The first cause is a wrong premise. If the plan assumes that the road is open and the road is closed, the plan fails however well it was made. A shop that assumes steady prices and meets a large price rise will find its order cost higher than planned. This is why premises are written down and checked: a wrong premise is hard to find when it is hidden.

The second cause is a vague objective, or a plan that is not com-

Weighing alternatives uses the premises as the standard of comparison.

You should now be able to say what an alternative is.

The fifth step is to choose one alternative and put it into action.

Carrying out needs people to understand the plan and to be given the means to act.

Planning is a loop, because results lead to new awareness.

Section 7.2 in four lines.

Many plans fail, and the causes are known and can be avoided.

Wrong premises are the most common cause of failure.

A plan fails when the

Plans can also fail from rigidity, cost and the difficulty of knowing the future.

Section 7.3 in three lines.

This worked case tests the shop's plan against its premise.

The situation collects the facts from the shop's case file.

The question asks whether the budget still holds under the premise.

The reasoning finds the new price, the new order value and the arrival date.

The conclusion tells the manager what to prepare.

The check repeats the increase by a second route.

The chapter in a few lines.

Planning also has limits. The future cannot be known, so every forecast can be wrong. Planning takes time and money, and a very detailed plan may cost more than it saves. A plan that is followed too strictly stops a manager from using a new chance. The answer is not to stop planning but to plan in proportion: more detail where mistakes are costly, less detail where conditions change fast, and a regular review in every case.

Before moving on. Plans fail because of wrong premises, vague or unshared objectives, and lack of commitment. Planning has limits: the future is uncertain, it costs time and money, and it can become rigid. A manager reviews plans often.

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WORKED CASE: CHECKING THE TEXTBOOK PLAN

This worked case follows the standard order for a descriptive chapter: Situation, Question, Reasoning, Conclusion and Check. It applies the five steps to the shop's record. It is a study of the idea and not a model answer.

Situation. The season starts on 2 January 2026. The order deadline is 12 December 2025. The shop expects to sell 1,800 textbook sets at an average of Tk 2,400, which is Tk 4,320,000. The premise is that publishers raise prices by 5%. The supplier lead time is 21 days.

Question. If the premise is right, how much will the order cost, and does the deadline still allow the books to arrive on time?

Reasoning. First, find the new average price. Five per cent of Tk 2,400 is $2,400 \times 5 \div 100 = \text{Tk } 120$, so the new price is $2,400 + 120 = \text{Tk } 2,520$. Second, find the new order value: $1,800 \times \text{Tk } 2,520 = \text{Tk } 4,536,000$. Third, find the increase: $\text{Tk } 4,536,000 - \text{Tk } 4,320,000 = \text{Tk } 216,000$. Fourth, check the date: 12 December plus 21 days is 2 January, so the books arrive on the day the season starts.

Conclusion. If the premise is right, the order costs Tk 4,536,000, which is Tk 216,000 more than the first estimate. The deadline allows the books to arrive on 2 January, with no spare days. A careful manager would raise the budget and consider ordering earlier.

Check. Five per cent of Tk 4,320,000 is $4,320,000 \times 5 \div 100 = \text{Tk } 216,000$. This equals the increase found in the third step, so the two routes agree.

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SUMMARY

Planning is deciding in advance what to do, by whom and by when. A plan states these things to reach an objective. Planning looks forward, serves a purpose, chooses, happens at every level and never ends. It follows five steps: awareness of opportunity, setting objectives, stating planning premises, listing and weighing alternatives,